FUTURA LA SCUOLA PER L'ITALIA DI DOMANI
Finanziato dall'Unione europea NextGenerationEU
Ministero dell'Istruzione e del Merito
Italiadomani PIANO NAZIONALE DI RIPRESA E RESILIENZA
Intervento realizzato da ITS TECNOLOGIE DELL'INFORMAZIONE E DELLA COMUNICAZIONE

TYPES OF CROWDFUNDING

to better understand

1) Donation-Based Crowdfunding:

- **No financial return** for backers
- Supporters contribute because they **believe in the cause**
- Typically used for **charity**, **community projects**, **social campaigns**, or **humanitarian initiatives**
- Motivations: altruism, solidarity, emotional connection

Examples: fundraising for disaster relief, medical expenses, social-impact initiatives

2) Reward-Based Crowdfunding:

- Backers receive **non-financial rewards** in exchange for their contribution
- Rewards often tied to the **product or service** being developed
- Very common for **creative**, **tech**, and **product launch** campaigns
- Motivation: early access, exclusive perks, being part of innovation

Examples: gadgets, apps, games, artistic works launched on Kickstarter or Indiegogo

3) Equity-Based Crowdfunding:

- Backers become **investors** and receive **ownership shares** (equity)
- Suitable for **startups** and **scalable businesses***, including ICT and tech solutions
- Regulated by financial authorities in most countries
- Motivation: potential **financial return** if the business grows or gets acquired

Examples: tech startup seeking capital to scale operations

* **Scalable businesses** are businesses that can grow its revenue faster than its costs, meaning it can expand to serve more customers without a proportional increase in expenses. Examples include software companies, online marketplaces, and subscription services, which can grow by adding users without adding a significant amount of manual labor.

4) Lending-Based Crowdfunding (Crowdlending):

- Backers contribute money as a **loan**
- The project creator promises to **repay** with **interest**
- Often used for **SMEs (Small and medium enterprises)**, real estate, or companies needing working capital
- Motivation: **predictable return*** without ownership

Examples: platforms enabling businesses to borrow from community investors instead of banks

*__Predictable return__ can have two main meanings: in finance, it refers to the degree to which future investment returns can be forecast using various data points, while in business, it refers to a company's ability to forecast and manage product returns.